

also using their cards while you were buying yourself a bag of chips. Don't think just about the folks in the same store as you. Think about a lady at the mall, friends at a movie theatre, patrons at a restaurant - all of them swiping their cards at the same time. Know how that is possible? VISA has a network strong enough to allow about 2600 transactions per second. Per second. That's a lot. And given the strength of the banking industry, that number is likely to keep increasing proportionally to the amount of funds pumped in to do so!

Let's superimpose this understanding onto blockchain and its supporting technology. If a blockchain network is made up of several nodes, then does it mean that the bandwidth of the network is the same as the speed of a single node? Well, as simple as that sounds, how do you determine which node to base your speed on? Regardless of how this bandwidth is calculated, what this actually means for the end-user is that until the data is recorded on all nodes in the system, the transaction cannot be verified and thus, cannot move forward. Given this calculation of sorts, blockchain technologies like Bitcoin are currently unable to provide for



Plastic currency such as VISA, MasterCard and AMEX aren't going to be rendered obsolete by blockchain technology anytime soon

more than 7 transactions per second (tps). Yep, 7 tps for Bitcoin vs 2600 for VISA. That's a lot of ground to cover.

Add to this the fact that bitcoins transactions are recorded only once in every 10 minutes. The entire idea behind creating blockchain also included quashing any digital double spend. Given that rollbacks are standard in these scenarios, the procedure includes waiting for 50 minutes to allow for all records across nodes to reflect any and all changes. Let's take you back to the initial supermarket scenario. What this would mean for you would be standing 50 minutes in a line to get a bag of chips. No real biggie, eh!